



3Q25 Review & JV Announcement: Soft Results, Positive Land Deal

Ticker: SLCE3 BZ | **Target Price:** 20.00 (BRL) | **Rating:** NEUTRAL

Henrique Brustolin

henrique.brustolin@bradescobbi.com.br
+55 (11) 97696-8487

Pedro Fontana

pedro.fontana@bradescobbi.com.br
+55 (11) 98923-0868

A strategic partnership unveiled: understanding the transaction. Even more important than the 3Q25 results (more on that below), SLC announced a significant strategic partnership through the creation of a joint venture (JV) with BTG Pactual-managed Private Equity Investment Funds (FIPs). The JV, in which SLC will hold a 50.01% stake, is designed to serve as a vehicle for the acquisition and leasing of agricultural land, as well as for investments in irrigation systems.

Which assets are involved? Under the agreement, SLC will contribute its Piratini farm (18.1k ha) in Bahia state to the JV, while the fund will inject R\$1.03bn in cash, of which R\$914mn will be paid upfront and R\$119mn in 2H26. Using this capital, the JV will acquire from SLC its Paladino farm (21.5k ha) for R\$723mn, with R\$361.5mn paid upon closing and R\$361.5mn in March 2026. SLC had **acquired** the farm earlier this year from Xingu. In addition, SLC will sell the existing infrastructure of both farms (including the irrigation system already installed at Piratini) for R\$113mn.

How will farming operations work? Once the land transactions are completed, SLC will enter into a rural partnership agreement with the JV, under which it will remain responsible for all farming operations and production costs. The JV, in turn, will receive a lease payment equivalent to 19% of the total agricultural production from the partnered areas (including both first and second crops). We estimate this rate to be broadly in line with prevailing leasing terms across the industry. The agreement has an initial term of 18 years, automatically renewed every three years unless either party objects.

What is the plan to increase irrigation? With the remaining cash injected into the JV, along with future cash generation, the partnership will fund new irrigation projects across both farms. At Piratini, the plan is to add 6.3k ha of irrigated area by 2026, reaching a total of 13.2k ha. At Paladino, pending environmental licensing, implementation should begin between 2028 and 2030, targeting a total irrigated area of 14.7k ha.

Our take from the deal: positive for unlocking value and setting a new growth model. The deal brings multiple positives for SLC: (i) it unlocks ~R\$270mn in farmland value, (ii) supports deleveraging through a cash inflow of R\$836mn, (iii) helps finance its irrigation projects, and (iv) sets a model for potential future transactions of this kind. Below, we discuss these in more detail:

~R\$270mn in farmland value unlocked. We estimate that the implied appraisal at which SLC is contributing/selling its farms to the JV stands at ~R\$47k/ha. Based on the company's average farmland appraisal, this translates into a proportional divestiture of 19.8k ha at a 0.8x P/NAV multiple, while SLC itself trades at an estimated 0.51x. Based on this NAV monetization alone, the implied value unlocked by the deal is ~R\$270mn, or ~4% of its market cap. Another way to frame it is that SLC will receive R\$836mn in upfront cash while assuming lease expenses to the FIP of ~R\$45mn/year (pre-tax), based on current operations. The implied cap rate for these farmlands is ~4.7%, broadly in line with industry averages and, in our view, highlighting how stretched farmland multiples are relative to other asset classes.

But the real story is growth. Despite the short-term benefit of value realization and deleveraging, we see the transaction primarily as a growth-funding move, with the NPV from future irrigation investments (whether through higher yields or further land appreciation) not captured in the above figures. With estimated capex for irrigation installation ranging between R\$25-30k/ha, total investments of R\$525-630mn should be needed for the Piratini and Paladino farms alone. These will now be financed through the JV, which could evolve into a new platform for similar deals as SLC's growth focus shifts toward extracting more value from its existing land base. Ultimately, irrigation not only enables a greater second crop area, but also boosts yields and mitigates weather-related risks.

3Q25 results: a soft print, with weaker cotton margins and yields as key drags. We view SLC's 3Q25 results as soft. Net revenue reached R\$2.1bn, up 28% YoY and 12% above BBle, driven by stronger-than-expected cotton lint volumes (-10% YoY; +12% vs. BBle) and solid corn volumes (+81% YoY, in line with expectations). Soybean volumes grew 30% YoY but came in 10% below BBle. Adj. EBITDA totaled R\$531mn (+15% YoY), broadly in line with our estimates, while the adj. EBITDA margin of 25.5% declined 290bps YoY and stood 290bps below BBle. Financial leverage remained stable at 2.3x (ex-IFRS16). The main negative was cotton lint profitability, with unit gross profit at R\$2,750/ton (25% below BBle and -17% QoQ), pressured by both lower realized prices (-4% QoQ) and higher unit costs (+3% QoQ). The company also revised down its second crop cotton yield for the 2024/25 harvest by 7% vs. its previous estimate, which could continue to weigh on margins ahead, in our view.

Regarding the 2025/26 crop, the guidance saw only marginal adjustments: slightly lower cotton planted area (-0.5%), offset by increases for soybean (+0.4%) and corn (+0.3%). Unit cost expectations were revised down for cotton (-0.3%) and corn (-2%), and remained unchanged for soybean.

Our take: The JV reinforces our long-held view of SLC as a best-in-class operator in a sector where Brazil holds clear structural advantages. That said, there are likely limits to how far the company will go in divesting farmland while keeping its portfolio balanced. We also see the soft commodity backdrop continuing to weigh on results, with realized prices that could weaken further into FY2026 and a cost guidance already suggesting some additional margin pressure ahead. We continue to see a compelling long-term story, but near-term catalysts remain limited given the softer cycle and a mild carryover story (2026E dividend yield <5%). Our Neutral rating remains unchanged.

Table 1 - Value Unlocking of The Deal

SLC - Value Unlocking		
Divested area	ha	19,758
Implied appraisal	'000 R\$/ha	47.3
SLC Avg. Farm Value	'000 R\$/ha	58.9
Divested P/NAV	-	0.80
SLC P/NAV	-	0.51
P/NAV Premium	-	0.29
Unit Value Unlocking	'000 R\$/ha	13.6
Total Value Unlocking	R\$m	270

Source: Company Information and Bradesco BBI

Table 2 - Deal Structure and Implied Valuation

Initial JV		
Equity Value	R\$m	2,066
FIP Cash	R\$m	1,033
Piratini - Farm Value	R\$m	1,033
Planted area	ha	18,052
Appraisal	'000 R\$/ha	57.2
Shareholder base	%	100.00%
SLC	%	50.01%
FIP	%	49.99%

Source: Company Information and Bradesco BBI

Acquisition		
Total Cash Paid	R\$m	836
Infrastructure	R\$m	113
Paladino - Farm Value	R\$m	723
Planted area	ha	21,471
Appraisal	'000 R\$/ha	33.7

Final JV		
Equity Value	R\$m	2,066
Cash	R\$m	197
Total Farm & Infra. Value	R\$m	1,869
Planted area	ha	39,523
Implied appraisal	'000 R\$/ha	47.3
Shareholder base	%	100.00%
SLC	%	50.01%
FIP	%	49.99%

Table 3 - Piratini Farm - Irrigation Plan

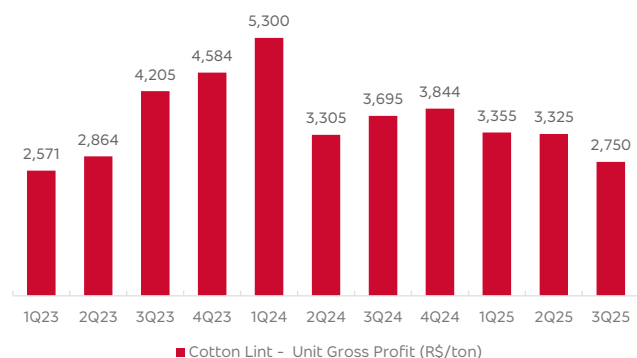
Piratini Farm			
Planted Area	Actual	Additional	Final
Crops (ha)	24,952	6,304	31,256
1st crop	18,052	0	18,052
2nd crop	6,900	6,304	13,204
Irrigated Area	6,900	6,304	13,204

Source: Company Information and Bradesco BBI

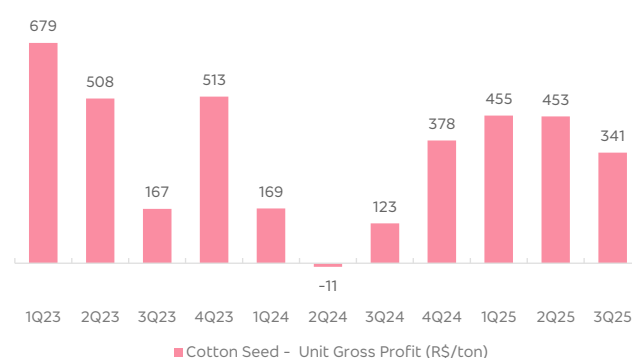
Table 4 - Paladino Farm - Irrigation Plan

Paladino Farm			
Planted Area	Actual	Additional	Final
Crops (ha)	21,471	14,730	36,201
1st crop	21,471	0	21,471
2nd crop	0	14,730	14,730
Irrigated Area	0	14,730	14,730

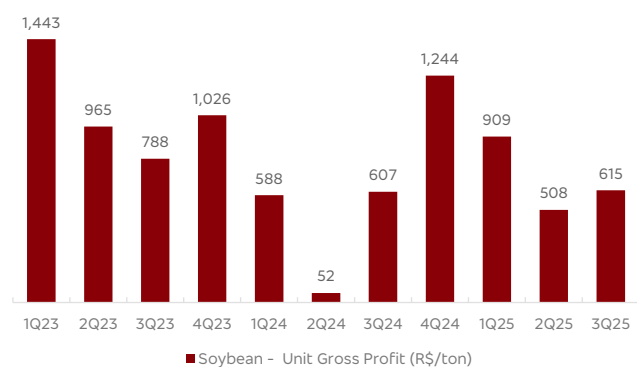
Source: Company Information and Bradesco BBI

Figure 1 - Cotton Lint Unit Gross Profit (R\$/ton)

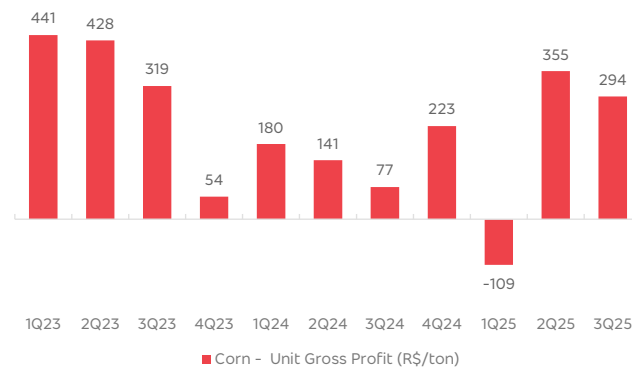
Source: Company Information and Bradesco BBI

Figure 2 - Cotton Seed Unit Gross Profit (R\$/ton)

Source: Company Information and Bradesco BBI

Figure 3 - Soybean Unit Gross Profit (R\$/ton)

Source: Company Information and Bradesco BBI

Figure 4 - Corn Unit Gross Profit (R\$/ton)

Source: Company Information and Bradesco BBI

Table 5 - SLC - 3Q25 Earnings Review

SLC (R\$ mn) 3Q25 Earnings Review	Actual vs. Estimates			Change YoY		Change QoQ	
	3Q25	3Q25E	A/E %	3Q24	YoY %	2Q25	QoQ %
Sales Volumes ('000 ton)	1,163	1,141	2.0%	775	50.1%	705	65.1%
Net Revenue	2,088	1,873	11.5%	1,632	27.9%	1,862	12.1%
(-) COGS	(1,486)	(1,288)	15.4%	(1,194)	24.4%	(1,310)	13.4%
(+/-) Biological Assets (net)	21	0	-	(158)	-	104	(80.0%)
Gross Profit	623	585	6.4%	279	123.1%	656	(5.1%)
(-) Total SG&A	(273)	(209)	30.7%	(191)	42.7%	(182)	49.8%
(+/-) Other Operating	(66)	0	-	(15)	340.3%	(21)	217.7%
(+/-) Capital Gains	0	0	-	0	-	(0)	-
EBIT	284	376	(24.5%)	73	288.8%	453	(37.3%)
(+) D&A	203	155	30.4%	153	32.1%	201	0.6%
EBITDA	487	532	(8.5%)	227	114.9%	655	(25.7%)
Net Financial Results	(214)	(206)	4.0%	(114)	88.0%	(168)	27.3%
(-) APV - Lease Liabilities	(78)	(79)	(1.4%)	(71)	9.8%	(85)	(8.2%)
(+/-) FX variation & Hedges	(43)	0	-	(20)	120.5%	(20)	118.8%
(+/-) Others	(3)	(2)	34.4%	(7)	(62.0%)	(3)	0.7%
EBT	(54)	90	-	(138)	(61.2%)	178	-
(-) Income tax	39	(22)	-	121	(67.7%)	(38)	-
(-) Minorities	4	(1)	-	18	(80.5%)	22	(83.8%)
Net Income	(11)	67	-	1	-	162	-
Gross Profit Adj. (R\$mn)	602	585	2.9%	437	37.6%	552	9.1%
EBIT Adj. (R\$mn)	329	376	(12.7%)	310	6.1%	355	(7.4%)
EBITDA Adj. (R\$mn)	531	532	(0.1%)	463	14.7%	557	(4.5%)
Adj. Gross margin	28.8%	31.2%	(2.4 pp)	26.8%	2.0 pp	29.6%	(0.8 pp)
EBIT Adj. margin	15.7%	20.1%	(4.4 pp)	19.0%	(3.2 pp)	19.1%	(3.3 pp)
EBITDA Adj. margin	25.5%	28.4%	(2.9 pp)	28.4%	(2.9 pp)	29.9%	(4.4 pp)
Net margin	(0.5%)	3.6%	(4.1 pp)	0.1%	(0.6 pp)	8.7%	(9.2 pp)

Source: Company Information and Bradesco BBI

Table 6 - SLC - 3Q25 Operational Review

SLC (R\$ mn) 3Q25 Operational Review	Actual vs. Estimates			Change YoY		Change QoQ	
	3Q25	3Q25E	A/E %	3Q24	YoY %	2Q25	QoQ %
Cotton Lint							
Net Revenues (R\$mn)	698	648	7.8%	820	(14.8%)	736	(5.1%)
Sales Volume ('000 ton)	75	67	11.8%	83	(9.5%)	76	(1.2%)
Price (R\$/ton)	9,261	9,602	(3.6%)	9,845	(5.9%)	9,638	(3.9%)
COGS (R\$mn)	(491)	(401)	22.3%	(512)	(4.1%)	(482)	1.9%
Unit Cost (R\$/ton)	(6,511)	(5,951)	9.4%	(6,150)	5.9%	(6,313)	3.1%
Gross Profit (R\$mn)	207	246	(15.8%)	308	(32.6%)	254	(18.3%)
Gross Margin (%)	29.7%	38.0%	(8.3 pp)	37.5%	(7.8 pp)	34.5%	(4.8 pp)
Unit Gross Profit (R\$/ton)	2,750	3,651	(24.7%)	3,695	(25.6%)	3,325	(17.3%)
Cotton Seed							
Net Revenues (R\$mn)	127	100	28.0%	85	50.5%	32	295.6%
Sales Volume ('000 ton)	144	130	10.9%	137	4.8%	30	382.4%
Price (R\$/ton)	886	768	15.4%	617	43.6%	1,081	(18.0%)
COGS (R\$mn)	(78)	(72)	8.5%	(68)	15.6%	(19)	319.0%
Unit Cost (R\$/ton)	(546)	(558)	(2.2%)	(494)	10.3%	(628)	(13.1%)
Gross Profit (R\$mn)	49	27	79.7%	17	190.8%	13	263.2%
Gross Margin (%)	38.4%	27.4%	11.1 pp	19.9%	18.6 pp	41.9%	(3.4 pp)
Unit Gross Profit (R\$/ton)	341	210	62.0%	123	177.6%	453	(24.7%)
Soybean							
Net Revenues (R\$mn)	465	511	(9.1%)	344	34.9%	967	(51.9%)
Sales Volume ('000 ton)	177	195	(9.1%)	136	30.2%	518	(65.8%)
Price (R\$/ton)	2,623	2,625	(0.1%)	2,530	3.7%	1,867	40.5%
COGS (R\$mn)	(356)	(391)	(9.0%)	(262)	35.8%	(704)	(49.5%)
Unit Cost (R\$/ton)	(2,008)	(2,007)	0.1%	(1,924)	4.4%	(1,359)	47.7%
Gross Profit (R\$mn)	109	120	(9.5%)	83	32.0%	263	(58.5%)
Gross Margin (%)	23.5%	23.6%	(0.1 pp)	24.0%	(0.5 pp)	27.2%	(3.7 pp)
Unit Gross Profit (R\$/ton)	615	618	(0.5%)	607	1.4%	508	21.2%
Corn							
Net Revenues (R\$mn)	618	529	16.8%	292	112.0%	50	-
Sales Volume ('000 ton)	709	723	(2.0%)	393	80.5%	61	-
Price (R\$/ton)	872	732	19.2%	742	17.5%	823	6.0%
COGS (R\$mn)	(410)	(347)	18.1%	(261)	56.7%	(29)	-
Unit Cost (R\$/ton)	(578)	(479)	20.5%	(665)	(13.1%)	(468)	23.4%
Gross Profit (R\$mn)	209	182	14.4%	30	589.4%	22	863.7%
Gross Margin (%)	33.7%	34.5%	(0.7 pp)	10.4%	23.4 pp	43.1%	(9.4 pp)
Unit Gross Profit (R\$/ton)	294	252	16.7%	77	282.1%	355	(17.0%)

Source: Company Information and Bradesco BBI

Table 7 - SLC - 3Q25 Guidance Revision

Planted Area ('000 ha)	2025/26			2024/25	
	New	Old	New vs. Old	Incurred	YoY
Cotton	198,657	199,714	-0.5%	178,803	11.1%
Cotton - 1st Crop	101,736	103,334	-1.5%	95,460	6.6%
Cotton - 2nd Crop	96,921	96,380	0.6%	83,343	16.3%
Soybean	431,206	429,702	0.4%	377,531	14.2%
Corn - 2nd Crop	158,706	158,249	0.3%	122,748	29.3%
Others	47,185	48,430	-2.6%	56,824	-17.0%
Total	835,754	836,095	0.0%	735,906	13.6%

Yield (kg/ha)	2025/26			2024/25	
	New	Old	New vs. Old	Incurred	YoY
Cotton	2,025	2,025	0.0%	1,914	5.8%
Cotton - 1st Crop	2,066	2,066	0.0%	1,831	12.8%
Cotton - 2nd Crop	1,982	1,982	0.0%	2,008	-1.3%
Cotton Seed	2,491	2,491	0.0%	2,354	5.8%
Soybean	4,036	4,036	0.0%	3,964	1.8%
Corn - 2nd Crop	7,738	7,738	0.0%	8,243	-6.1%

Production ('000 tons)	2025/26			2024/25	
	New	Old	New vs. Old	Incurred	YoY
Cotton	402	405	-0.6%	342	17.6%
Cotton - 1st Crop	210	213	-1.5%	175	20.3%
Cotton - 2nd Crop	192	191	0.6%	167	14.8%
Cotton Seed	495	497	-0.5%	421	17.6%
Soybean	1,740	1,734	0.4%	1,497	16.3%
Corn - 2nd Crop	1,228	1,225	0.3%	1,012	21.4%

Production Cost (R\$/ha)	2025/26			2024/25	
	New	Old	New vs. Old	Incurred	YoY
Cotton	13,360	13,399	-0.3%	13,712	-2.6%
Cotton - 1st Crop	13,846	13,877	-0.2%	14,187	-2.4%
Cotton - 2nd Crop	12,849	12,887	-0.3%	13,167	-2.4%
Soybean	5,181	5,178	0.1%	4,709	10.0%
Corn - 2nd Crop	4,346	4,434	-2.0%	4,316	0.7%

Unit Cost (R\$/ton)	2025/26			2024/25	
	New	Old	New vs. Old	Incurred	YoY
Cotton	6,597	6,615	-0.3%	7,166	-7.9%
Cotton - 1st Crop	6,702	6,717	-0.2%	7,748	-13.5%
Cotton - 2nd Crop	6,483	6,502	-0.3%	6,557	-1.1%
Soybean	1,284	1,283	0.1%	1,188	8.1%
Corn - 2nd Crop	562	573	-2.0%	524	7.3%

Source: Company Information and Bradesco BBI

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